

Summary

Liquidity is becoming increasingly important for companies and this factor alone has resulted in companies becoming sick — an inadequacy of funds to finance operations. It is crucial that investors examine the liquidity of a company, and whether it is improving or deteriorating.

As companies begin to have financial difficulties, they begin to postpone and delay paying their bills. Current liabilities begin to build up. As current liabilities build up, suppliers become more and more reluctant to sell goods. This first affects production, then sales and has a snowballing effect. Therefore if the liquidity ratios of a company are deteriorating, an investor should be concerned.

However, negative liquidity ratios need not necessarily be bad. Many strong companies keep low current assets and are able to get long credit from suppliers, especially those that operate with extremely low margins.

Historically, companies exhibit excellent liquidity ratios before a crash. This is because fixed assets and stocks are sold and gets converted into cash. Current liabilities decrease as creditors are paid off. So good liquidity is also not always wonderful.

An investor should always check the quality of a company's current assets. It should also be ascertained whether they are at current realisable value. Moreover, current assets should not include deferred revenue expenditure like advertising costs as they do not have any encashable value. Finally, it must be remembered that balance sheets can be window dressed. Therefore, the figures should be properly scrutinised.

The optimal liquidity required varies from company to company and from industry to industry. It depends both on market conditions and the prominence of a company. While viewing liquidity ratios, the investor must check whether a company is adequately liquid and whether its liquidity position has deteriorated or improved. If it has deteriorated and there does not seem a likelihood of it, improving in the imminent future, one should consider selling the company's shares.

Leverage